

Table 45.3 Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
5 (breakeven)	362 or 31%	54 or 30%	329 or 34%	25 or 14%
10	177 or 46%	35 or 49%	210 or 55%	24 or 27%
15	101 or 55%	24 or 62%	139 or 70%	30 or 44%
20	72 or 61%	11 or 68%	93 or 79%	15 or 52%
25	66 or 67%	9 or 73%	59 or 85%	16 or 61%
30	51 or 71%	4 or 75%	45 or 90%	18 or 71%
35	41 or 75%	11 or 81%	32 or 93%	14 or 78%
50	94 or 83%	18 or 91%	51 or 98%	28 or 94%
75	82 or 90%	12 or 98%	16 or 100%	11 or 100%
Over 75	120 or 100%	4 or 100%	1 or 100%	0 or 100%

For downward breakouts, read the table the same way. In bear markets, 14% of island tops failed to see price drop more than 5% after the breakout. This is the lowest failure rate of the bunch. Over half (52%) failed to see price drop more than 20%.

Notice how the failure rates climb in each column, quickly doubling or tripling the breakeven rate. This progression is common for chart patterns. It suggests that good performers are hard to find, so you need every break you can get. That is why things like trading with the market trend, using stops, and selling at a profit when the stock, industry, and general market begin showing weakness can spell the difference between a millionaire trader and a homeless one.

Table 45.4 shows breakout-related statistics.

Breakout direction. Island bottoms have upward breakouts all of the time. Island tops have downward breakouts all of the time, so that's why you see the 100% values in the columns.